

# The Voluntary Disclosure Of Income And Wealth Act, 1976

Source: <https://indiankanoon.org/doc/1574006/>

[Skip to main content](#)

[Legal Document View](#)

[Tools for analyzing structure and cite text of judgments](#)

[Unlock Advanced Research with](#)

[PRISM](#)

[AI](#)

[Integrated with over 4 crore judgments and laws ? designed for legal practitioners, researchers, students and institutions](#)

-

[Know your Kanoon](#)

-

[Doc Gen Hub](#)

-

[Counter Argument](#)

-

[Case Predict AI](#)

-

[Talk with IK Doc](#)

-

...

[Upgrade to Premium](#)

[Cites

0

, Cited by

72

]

Union of India - Act

The Voluntary Disclosure Of Income And Wealth Act, 1976

UNION OF INDIA

India

The Voluntary Disclosure Of Income And Wealth Act, 1976

Act 8 of 1976

Published on 25 January 1976

Commenced on 25 January 1976

[This is the version of this document from 25 January 1976.]

[Note: The original publication document is not available and this content could not be verified.]

The Voluntary Disclosure Of Income And Wealth Act, 1976

ACT NO. 8 OF 1976

1258.

[25th January, 1976]

An Act to provide for voluntary disclosure of income and wealth and for matters connected therewith or incidental thereto.

BE it enacted by Parliament in the Twenty-sixth Year of the Republic of India as follows:-

1.

Short title, extent and commencement.

(1)

This Act may be called the Voluntary Disclosure of Income and Wealth Act, 1976.

(2)

It extends to the whole of India.

(3)

It shall be deemed to have come into force on the 8th day of October, 1975.

2.

Definitions.

In this Act, unless the context otherwise requires,-

(a)

(i)

"Gold (Control) Act" means the Gold (Control) Act, 1968;(45 of 1968.)

(ii)

"Income-tax Act" means the Income-tax Act, 1961; (43 of 1961.)

(iii)

"Wealth-tax Act" means the Wealth-tax Act, 1957; (27 of 1957.)

(b)

all other words and expressions used in this Act but not defined and defined in the Income-tax Act shall have the meanings respectively assigned to them in that Act.

3.

Charge of income-tax on voluntarily disclosed income.

(1)

Subject to the provisions of this Act, where any person makes, on or after the date of commencement of this Act but before the 1st day of January, 1976, a declaration in accordance with the provisions of section 4 in respect of any income chargeable to tax under the Indian Income-tax Act, 1922 (11 of 1922.) or the Income-tax Act for any assessment year-

(a)

for which he has failed to furnish a return under section 139 of the Income-tax Act, or

(b)

which he has failed to disclose in a return of income furnished by him under the Income-tax Act before the date of commencement of this Act, or

(c)

which has escaped assessment by reason of the omission or failure on the part of such person to make a return under the Indian Income-tax Act, 1922 (11 of 1922.) or the Income-tax Act or to disclose fully and truly all material facts necessary for his assessment or otherwise, then, notwithstanding anything contained in the Indian Income-tax Act, 1922 (11 of 1922.) or the Income-tax Act or in any Finance Act, income-tax shall be charged in respect of the income so declared (such income being hereinafter referred to as the voluntarily disclosed income) at the rate or rates specified in the Schedule.

(2)

Nothing contained in sub-section (1) shall apply in relation to-

(i)

the income assessable for any assessment year for which a notice under section 139 or section 148 of the Income-tax Act has been served upon such person and the return has not been furnished before the commencement of this Act;

(ii)

where any books of account, other documents, money, bullion, jewellery or other valuable articles or things belonging to the person making the declaration under sub-section (1) (hereafter in this section, in sections 4 to 13 and in the Schedule referred to as the declarant) have been seized as a result of any search under section 132 of the Income-tax Act or under section 37A of the Wealth-tax Act, the income in respect of the previous year in which such search was made or any earlier previous year.

(3)

In addition to the amount of income-tax to be paid under sub-section (1), the declarant shall invest a sum equal to five per cent. of the amount of the voluntarily disclosed income in such securities as the Central Government may notify in this behalf in the Official Gazette.

4.

Particulars to be furnished in declaration.

(1)

The declaration under sub-section (1) of section 3 shall be made to the Commissioner and shall be in such form and shall be verified in such manner as may be prescribed by rules made by the Board.

(2)

The declaration shall be signed-

(a)

where the declarant is an individual, by the individual himself; where such individual is absent from India, by the individual concerned or by some person duly authorised by him in this behalf; and where the individual is mentally incapacitated from attending to his affairs, by his guardian or by any other person competent to act on his behalf;

(b)

where the declarant is a Hindu undivided family, by the karta, and where the karta is absent from India or is mentally incapacitated from attending to his affairs, by any other adult member of such family;

(c)

where the declarant is a company, by the managing director thereof, or where for any unavoidable reason such managing director is not able to sign the declaration or where there is no managing director, by any director thereof;

(d)

where the declarant is a firm, by the managing partner thereof, or where for any unavoidable reason such managing partner is not able to sign the declaration, or where there is no managing partner as such, by any partner thereof, not being a minor;

(e)

where the declarant is any other association, by any member of the association or the principal officer thereof; and

(f)

where the declarant is any other person, by that person or by some person competent to act on his behalf.

(3)

Any person, who has made a declaration under subsection (1) of section 3 in respect of his income, or as a representative assessee in respect of the income of any other person, shall not be entitled to make any other declaration under that sub-section in respect of his income or, as the case may be, the income of such other person, and any such other declaration, if made, shall be deemed to be void.

5.

Time for payment of income-tax and for investment in notified securities.

(1)

Subject to the provisions of sub-section (2) the income-tax payable under this Act in respect of the voluntarily disclosed income shall be paid by the declarant before making the declaration and the declaration shall be accompanied by proof of payment of such tax.

(2)

If the Commissioner is satisfied, on an application made in this behalf by the declarant, that the declarant is unable for good and sufficient reasons, to pay the full amount of income-tax in respect of the voluntarily disclosed income in accordance with sub-section (1) he may extend the time of payment of the amount which remains unpaid or allow payment thereof by instalments if the declarant furnishes adequate security for the payment thereof; so, however, that an amount which is not less than one-half of the amount of income-tax payable in respect of the voluntarily disclosed income shall be paid on or before the 31st day of March, 1976 and the remainder, if any, on or before the 31st day of March, 1977.

(3)

The security required to be furnished by a declarant for the purposes of sub-section (2) shall be in such form and in such manner as the Commissioner may, in his discretion, direct.

(4)

The investment in the securities referred to in sub-section (3) of section 3 shall be made by the declarant within thirty days from the date on which the declaration is made by him under sub-section (1) of that section.

6.

Interest payable by declarant.

If the amount of income-tax payable in respect of the voluntarily disclosed income is not paid on or before the 31st day of March, 1976, the declarant shall be liable to pay simple interest at twelve per cent. per annum on the amount remaining unpaid from the 1st day of April, 1976 to the date of payment and the provisions of the Income-tax Act and the rules made thereunder shall, so far as may be, apply as if the interest payable under this section were interest payable under sub-section (2) of section 220 of that Act.

7.

Mode of recovery.

(1)

If the declarant fails to pay the income-tax in respect of the voluntarily disclosed income within the time allowed under sub-section (2) of section 5 or to invest the amount required to be invested in the securities referred to in sub-section (3) of section 3 within the time specified in sub-section (4) of section 5, the declarant shall be deemed to be in default.

(2)

The provisions contained in sections 221 to 227, 229, 231 and 232 of the Income-tax Act and the Second and Third Schedules to that Act and any rules made thereunder shall, so far as may be, apply as if the said provisions were provisions of this Act and referred to income-tax and sums payable by way of penalty and interest under this Act instead of to tax and sums by way of penalty and interest payable under that Act and to the declarant instead of to the assessee.

(3)

Any arrears in respect of the amount required to be invested by the declarant in the securities referred to in sub-section (3) of section 3 shall be recoverable in accordance with the provisions of sub-section (2) as if such arrears were arrears of income-tax and the amount so recovered shall be utilised for the purchase of such securities in the name of the declarant.

8.

Voluntarily disclosed income not to be included in the total income.

(1)

The amount of the voluntarily disclosed income shall not, be included in the total income of the declarant for any assessment year under the Indian Income-tax Act, 1922 (11 of 1922.) or the Income-tax Act, or the Excess Profits Tax Act, 1940 (15 of 1940.) or the Business Profits Tax Act, 1947 (21 of 1947.) or the Super Profits Tax Act, 1963 (14 of 1963

.) or the Companies (Profits) Surtax Act, 1964, (7 of 1964.) if the following conditions are fulfilled, namely:-

(i)

the declarant credits such amount in the books of account, if any, maintained by him for any source of income or in any other record, and intimates the credit so made to the Income-tax Officer;

(ii)

the income-tax in respect of the voluntarily disclosed income is paid by the declarant; and

(iii)

the amount required to be invested in the securities referred to in sub-section (3) of section 3 is so invested by the declarant.

(2)

The Commissioner shall, on an application made by the declarant, grant a certificate to him setting forth the particulars of the voluntarily disclosed income, the amount of income-tax paid in respect of the same, the amount of investment made in the securities referred to in sub-section (3) of section 3 and the date of payment and investment.

9.

Voluntarily disclosed income not to affect finality of completed assessments, etc.

The declarant shall not be entitled, in respect of the voluntarily disclosed income or any amount of income-tax paid thereon, to reopen any assessment or reassessment made under any of the Acts mentioned in sub-section (1) of section 8 or claim any set off or relief in any appeal, reference or other proceeding in relation to any such assessment or reassessment.

10.

Income-tax in respect of voluntarily disclosed income not refundable.

Any amount of income-tax paid in pursuance of a declaration made under sub-section (1) of section 3 shall not be

refundable under any circumstances.

11.

Declaration not admissible in evidence against declarant.

Notwithstanding anything contained in any other law for the time being in force, nothing contained in any declaration made under sub section (1) of section 3 shall be admissible in evidence against the declarant for the purpose of any proceeding relating to imposition of penalty or for the purposes of prosecution under any of the Acts mentioned in sub-section (1) of section 8 or the Wealth-tax Act.

12.

Secrecy of declaration.

(1)

All particulars contained in a declaration made under sub section (1) of section 3 shall be treated as confidential and, notwithstanding anything contained in any law for the time being in force, no court or any other authority shall be entitled to require any public servant or the declarant to produce before it any such declaration or any part thereof or to give any evidence before it in respect thereof.

(2)

No public servant shall disclose any particulars contained in any such declaration except to any officer employed in the execution of any of the Acts mentioned in sub-section (1) of section 8, or the Wealth-tax Act, or to any officer appointed by the Comptroller and Auditor-General of India or the Board to audit income-tax receipts or refunds.

(3)

The provisions of sub-sections (1) and (2) shall apply in relation to all documents and particulars relating to the investment in the securities referred to in sub-section (3) of section 3 (including the payment of interest on such securities) as they apply in relation to the declaration made under sub-section (1) of that section and the particulars contained therein.

13.

Exemption from wealth-tax in respect of assets specified in declaration.

(1)

Where the voluntarily disclosed income is represented by cash (including bank deposits), bullion, investment in shares, debts due from other persons, commodities or any other assets specified in the declaration made under sub-section (1) of section 3-

(a)

in respect of which the declarant has failed to furnish a return under section 14 of the Wealth-tax Act for the assessment year commencing on the 1st day of April, 1975 or any earlier assessment year or years, or

(b)

which have not been shown in the return of net wealth furnished by him for the said assessment year or years, or

(c)

which have been understated in value in the return of net wealth furnished by him for the said assessment year or years, then, notwithstanding anything contained, in the Wealth-tax Act or any rules made thereunder,-

(i)

wealth-tax shall not be payable by the declarant in respect of the assets referred to in clause (a) or clause (b) and such assets shall not be included in his net wealth for the said assessment year or years;

(ii)

the amount by which the value of the assets referred to in clause (c) has been understated in the return of net wealth for the said assessment year or years, to the extent such amount does not exceed the voluntarily disclosed income utilised for acquiring such assets, shall not be taken into account in computing the net wealth of the declarant for the said assessment year or years.

Explanation.-Where a declaration under sub-section (1) of section 3 is made by a firm, the assets referred to in clause (i) or, as the case may be, the amount referred to in clause (ii) shall not be taken into account in computing the net wealth of any partner of the firm or, as the case may be, in determining the value of the interest of any partner in the firm.

(2)

The provisions of sub-section (1) shall not apply unless the conditions specified in sub-section (1) of section 8 are fulfilled by the declarant.

(3)

All words and expressions used in this section and in section 15 but not defined and defined in the Wealth-tax Act shall have the meanings respectively assigned to them in that Act.

14.

Disclosure of income in cases of search and seizure.

(1)

Subject to the provisions of this section, where any books of account, other, documents, money, bullion, jewellery or other valuable articles or things belonging to a person have been seized as a result of a search under section 132 of the Income-tax Act or section 37A of the Wealth-tax Act and such person (hereafter in this section referred to as the declarant) makes, on or after the date of commencement of this Act but before the 1st day of January, 1976, a declaration in accordance with sub-section (2) in respect of any income relating to the previous year in which such search was made or any earlier previous year-

(a)

for which he has failed to furnish a return under Section, 139 of the Income-tax Act, or

(b)

which he has failed to disclose in a return of income furnished by him under the Income-tax Act before the commencement of this Act, or

(c)

which has escaped assessment by reason of the omission or failure on the part of such person to make a return under the Indian Income-tax Act, 1922, (11 of 1922.) or the Income-tax Act, or to disclose fully and truly all material facts necessary for his assessment or otherwise, then, notwithstanding anything contained in any of the Acts mentioned in sub-section (1) of section 8 or the Wealth-tax Act, the amount of income so declared or, as the case may be, the value of the assets representing such income, shall not be taken into account for the purposes of-

(i)

payment of interest by the declarant under sub-section (8) of section 139 of the Income-tax Act;

(ii)

payment of interest by the declarant Under section 215 or section 217 of the Income-tax Act or the corresponding provisions of the Indian Income-tax Act, 1922; (11 of 1922.)

(iii)

imposition of penalty on the declarant under the provisions of any of the said Acts, except under section 221 of the Income-tax Act or the corresponding provisions of any of the other said Acts; and

(iv)

prosecution of the declarant under the provisions of any of the said Acts.

(2)

The declaration under sub-section (1) shall be made to the Commissioner and shall be in such form and shall be verified in such manner as may be prescribed by rules made by the Board.

(3)

A declaration under this section shall be signed by the person specified in sub-section (2) of section 4 as if the declaration had been made under that section.

(4)

A copy of the declaration made by the declarant under sub-section (1) shall be forwarded by the Commissioner to the Income-tax Officer and the information contained therein may be taken into account for the purposes of the proceedings relating to assessment or reassessment of the income of the declarant under the provisions of any of the Acts mentioned in sub-section (1) of section 8 or the Wealth-tax Act.

(5)

The immunity provided under sub-section (1) shall not be available to the declarant unless the tax chargeable in respect of the income of the previous year or years for which the declaration has been made is paid by the declarant in accordance with the provisions of section 5.

Explanation. [For the purposes of this sub-section and sub-section (5A),]

[Substituted by Act 29 of 1977, s.38 (w.e.f. 1-4-1976) ]

tax chargeable in respect of the income of any previous year for which the declaration is made shall be,-

(a)

where the declarant has not furnished a return in respect of the total income of that year and no assessment has been made in respect of the total income of that year, the tax payable on the income declared under sub-section (1) for that year as if such income were the total income;-

(b)

where the declarant has furnished a return in respect of the total income of that year and no assessment has been made in pursuance of such return, the tax payable on the aggregate of the total income returned and the income declared under sub-section (1) for that year as if such aggregate were the total income, as reduced by the tax payable on the basis of the total income returned;

(c)

where an assessment in respect of the total income of that year has been made, the tax payable on the aggregate of the total income as assessed and the income declared under sub-section (1) for that year as if such aggregate were the total income, as reduced by the tax payable on the basis of the total income as assessed.

(5A)

[ A declarant who has not paid, in accordance with the provisions of section 5, the tax chargeable in respect of the income of the previous year or years for which the declaration has been made shall, notwithstanding anything contained in sub-section (5), be entitled to the immunity provided under sub-section (1) if, before the 1st day of January, 1978, the declarant-

(i)

pays the amount of such tax remaining unpaid; and

(ii)

pays simple interest at the rate of twelve per cent. per annum on the amount of such tax remaining unpaid on the 31st day of March, 1976, from the 1st day of April, 1976 to the date of payment of such tax.

(5B)

The provisions of the Income-tax Act and any rules made thereunder shall, so far as may be, apply to the interest payable under sub-section (5A) as if such interest were interest payable under sub-section (2) of section 220 of that Act.]

[Inserted by Act 29 of 1977, s.38 (w.e.f. 1-4-1976) ]

(6)

Where any tax is paid by the declarant [in accordance with the provisions of section 5, read with sub-section (5) or, as the case may be, in accordance with the provisions of sub-section (5A)],

[Substituted by Act 29 of 1977, s.38 (w.e.f. 1-4-1976)]

credit therefor shall be given to the declarant in the assessment made under the Indian Income-tax Act, 1922, (11 of 1922.) or, as the case may be, the Income-tax Act, in respect of his total income of the previous year or years.

(7)

Nothing in sub-section (1) shall apply in relation to any income which has been included in the total income of the declarant in any assessment made by the Income-tax Officer before the date on which the declaration under that sub-section is made.

15.

Voluntary disclosure of wealth.

(1)

Subject to the provisions of this section, where any person makes, on or after the date of commencement of this Act but before the 1st day of January, 1976, a declaration in respect of-

(a)

the net wealth chargeable to wealth-tax for any assessment year for which he has failed to furnish a return under section 14 of the Wealth-tax Act; or

(b)

the value of the. assets which has not been disclosed, or the value of the assets which has been understated, in any return of net wealth for any assessment year, then, notwithstanding anything contained in that Act, the net wealth, or, as the case may be, the value so declared shall not be taken into account for the purposes of any proceedings relating to imposition of penalty on the person making the declaration under this sub-section (hereafter in this section referred to as

the declarant) or for the purposes of the prosecution of the declarant under that Act:

Provided that-

(i)  
nothing contained in clause (a) shall apply in relation to the net wealth assessable for any assessment year for which a notice under section 14 or section 17 of that Act has been served upon the declarant before the commencement of this Act;

(ii)  
nothing contained in clause (b) shall apply in relation to so much of the value of such assets as has been assessed in any assessment for the relevant assessment year made by the Wealth-tax Officer before the date on which the declaration under this sub-section is made.

(2)  
The declaration under sub-section (1) shall be made to the Commissioner and shall be in such form and shall be verified in such manner as may be prescribed by rules made by the Board.

(3)  
A declaration under sub-section (7) shall be signed by the person specified in sub-section (2) of section 4 as if the declaration had been made under that section.

(4)  
A copy of the declaration made by the declarant under sub-section (1) shall be forwarded by the Commissioner to the Wealth-tax Officer and the information contained therein may be taken into account for the purposes of the proceedings relating to assessment or reassessment of the net wealth of the declarant under the provisions of the Wealth-tax Act.

(5)  
The immunity provided under sub-section (1) shall not be available to the declarant unless the wealth-tax chargeable in respect of the net wealth for the assessment year or years for which the declaration has been made is paid by the declarant in accordance with the provisions of section 5 and the declarant invests in the securities referred to in sub-section (3) of section 3 within the time specified in sub-section (4) of section 5 the sum specified in sub-section (6) of this section.

Explanation. [For the purposes of this sub-section and sub-section (5A),]

[Inserted by Act 29 of 1977, s.38 (w.e.f. 1-4-1976) ]

wealth-tax chargeable in respect of the net wealth for any assessment year for which the declaration is made shall be-

(a)  
in a case falling under clause (a) of sub-section (1), the wealth-tax payable in respect of the net wealth declared under that clause for that year;

(b)  
in a case falling under clause (b) of sub-section (1),--

(i)  
where no assessment has been made in pursuance of the return of net wealth furnished by the declarant, the wealth-tax payable on the aggregate of the net wealth returned and the value declared under that clause for that year as if such aggregate were the net wealth, as reduced by the wealth-tax payable on the basis of the net wealth returned;

(ii)  
where an assessment has been made in pursuance of the return of net wealth furnished by the declarant, the wealth-tax payable on the aggregate of the net wealth as assessed and the value declared under that clause for that year as if such aggregate were the net wealth, as reduced by the wealth-tax payable on the net wealth as assessed.

(5A)  
[ A declarant--

(a)  
who has not paid, in accordance with the provisions of section 5, the wealth-tax chargeable in respect of the net wealth for the assessment year or years for which the declaration has been made; or (b) who has not invested in the securities referred to in sub-section of section 3 within the time specified in subsection (4) of section 5 the sum specified in sub-section (6); or

(c)  
who has neither so paid such wealth-tax nor so invested such sum, shall, notwithstanding anything contained in



sub-section (5), be entitled to the immunity provided under sub-section (1), if the declarant-

(i)

in a case falling under clause (a), Pays before the 1st day of January, 1978 (hereafter in this sub-section referred to as the said date) the amount of such wealth-tax remaining unpaid and also simple interest at the rate of twelve per cent. per annum on the amount of such wealth-tax remaining unpaid on the 31st day of March, 1976, from the 1ST day of April, 1976 to the date of payment of such wealth-tax;

(ii)

in a case falling under clause (b), invests before the said date in the securities aforesaid the sum specified in sub-section (6) or, as the case may be, the amount which falls short of the sum required to be invested;

(iii)

in a case falling under clause (c), pays before the said date the amount of such wealth-tax remaining unpaid and also simple interest at the rate of twelve per cent. per annum. on the amount of wealth-tax remaining unpaid on the 31st day of March, 1976, from the 1st day of April, 1976 to the date of payment of such wealth-tax and invests before the said date in the securities aforesaid the sum specified in sub-section (6) or, as the case may be, the amount which falls short of the sum required to be invested.

(5B)

The provisions of the Wealth-tax Act and any ruler, made thereunder shall, so far as may be, apply to the interest payable under sub-section (5A) as if such interest were interest payable under sub-section (2) of section 31 of the Wealth-tax Act.]

[Inserted by Act 29 of 1977, s.38 (w.e.f. 1-4-1976) ]

(6)

The sum referred to in sub-section (5), shall be,-

(a)

where the declaration has been made in respect of one assessment year, a sum equal to two and a half per cent. of the amount of net wealth declared under clause (a) of sub-section (1), Or, as the case may be, the value declared under clause (b) of that sub-section;

(b)

where the declaration has been made in respect of more than one assessment year, a sum equal to two and a half per cent of the net wealth declared under clause (a) of sub-section (1), or, as the case may be, the value declared under clause (b) of that subsection, in respect of the last of such assessment years.

(7)

Where any wealth-tax is paid by the declarant for any assessment year credit therefor shall be given to the declarant [in accordance with the provisions of section 5, read with sub-section (5) or, as the case may be, in accordance with the provisions of sub-section (5A)]

[Substituted by Act 29 of 1977, s.38 (w.e.f. 1-4-1976) ]

credit therefor shall be given to the declarant in the assessment made under the Wealth-tax Act for that year.

16.

Immunity from penalty, prosecution, etc., under certain Acts.

(1)

Where-

(a)

the voluntarily disclosed income declared under sub-section (1) of section 3 or any part thereof, or

(b)

the net wealth, or the assets the value whereof is, declared under sub-section (1) of section 15 or any part of such net wealth or assets, is or are represented by gold, then, notwithstanding anything contained In the Customs Act, 1962 (52 of 1962.) or the Gold (Control) Act, such gold shall not be liable to confiscation under either of the said Acts and the person making the declaration shall not be liable to imposition of any penalty or infliction of any punishment under either of the said Acts for any act or omission in relation to such gold, if he fulfils the following conditions, namely:-

(A)

in a case where the gold is owned, possessed, held or controlled by the person making the declaration (such gold being owned, possessed, held or controlled by him in his capacity as a licensed dealer), necessary entries are made by him in

the accounts, registers and documents maintained under the Gold (Control) Act, under intimation to the Gold Control Officer of the rank of an Assistant Collector of Central Excise or of Customs before the 1st day of February, 1976 and such other steps as are necessary for him to comply with the requirements of that Act in relation to such gold are taken by him before that date;

(B)

in any other case,-

(i)

where the gold is an article or ornament or both and the weight of such article or ornament, or the aggregate weight of both, together with the weight of any other gold (being an article or ornament) owned, possessed, held or controlled by him, exceeds the limits specified in sub-section (5) of section 16 of the Gold (Control) Act, such article or ornament or both, as the case may be, is or are declared in the form prescribed under sub-section (1), and in the manner specified in subsection (8), of that section before the 1st day of February, 1976;

(ii)

where the gold is primary gold, such gold is either sold to any licensed dealer under intimation to the Gold Control Officer of the rank of an Assistant Collector of Central Excise or of Customs before the 1st' day of February, 1976 or is made into ornaments and a declaration in this behalf is made in the form prescribed under subsection (1), and in the manner specified in sub-section (8), of section 16 of the Gold (Control) Act, before that date.

(2)

Notwithstanding anything contained in the Gold (Control) Act, any primary gold referred to in sub-clause (ii) of clause (B) of sub-section (1) may be sold by the person making the declaration to any licensed dealer and such licensed dealer may purchase such gold, provided that the total quantity of primary gold (not being in the form of standard gold bars) in the possession or custody of such dealer and the quantity of primary gold (not being in the form of standard gold bars) to be so purchased does not exceed the limit specified in clause (a) or clause (b) or clause (c) or, as the case may be, clause (d) of the proviso to sub-section (1) of section 32 of that Act.

(3)

Mere a declaration is made under sub-clause (i) or sub-clause (ii) of clause (B) of sub-section (1), the provisions of section 16 of the Gold (Control) Act, shall, so far as may be, apply as if such declaration were a declaration made under that section.

(4)

The immunity provided under sub-section (1) shall, in a case where the person making the declaration is a firm, also extend to the partners of the firm.

(5)

Nothing in this section shall apply in relation to any gold,-

(a)

which has been seized or confiscated under the Customs Act, 1962 (52 of 1962.) or the Gold (Control) Act, before the declaration under sub-section (1) of section 3 or, as the case may be, under sub-section (1) of section 15, is made; or

(b)

which is seized as a result of any search made under either of the said Acts where such search had commenced before such declaration IS made; or

(c)

in respect of which any other proceedings under either of the said Acts are pending before any authority before such declaration is made.

(6)

For the removal of doubts, it is hereby declared that nothing in this section shall be construed as exempting any person from discharging any obligation under the Gold (Control) Act, on or After the 1st day of February, 1976 in relation to the gold referred to in this section.

Explanation.-For the purposes of this section, the expressions "article", "gold", "Gold Control Officer", "licensed dealer", "ornament", " primary gold" and "standard gold bar" shall have the meanings respectively assigned to them in the Gold (Control) Act.

17.

Applicability of certain provisions of Income tax Act and of Chapter V of Wealth tax Act.

The provisions of Chapter XV of the Income-tax Act relating to liability in special cases and of section 189 of that Act or of Chapter V of the Wealth-tax Act relating to liability to assessment in special cases shall, so far as may be, apply in relation to proceedings under this Act as they apply in relation to proceedings under the Income-tax Act or, as the case may be, the Wealth-tax Act.

18.

Removal of doubts.

For the removal of doubts, it is hereby declared that, save as otherwise expressly provided in the Explanation to sub-section (1) of section 13 and in sub-section (4) of section 16, nothing contained in this Act shall be construed as conferring any benefit, concession or immunity on any person other than the person making the declaration under this Act.

19.

Power to remove difficulties.

(1)

If any difficulty arises in giving effect to the provisions of this Act, the Central Government may, by order, not inconsistent with the provisions of this Act, remove the difficulty.

(2)

Every order made under this section shall, as soon as may be after it is made, be laid before each House of Parliament.

20.

Power to make rules.

(1)

The Board may, by notification in the Official Gazette, make rules for carrying out the provisions of this Act.

(2)

Without prejudice to the generality of the foregoing power, such rules may provide for,-

(a)

the form in which a declaration may be made under sub-section (1) of section 3 and the manner in which it may be verified,

(b)

the form in which a declaration may be made under sub-section (1) of section 14 and the manner in which it may be verified;

(c)

the form in which a declaration may be made under sub-section (1) of section 15 and the manner in which it may be verified.

(3)

The Central Government shall cause every rule made under this Act to be laid, as soon as may be after it is made, before each House of Parliament while it is in session for a total period of thirty days which may be comprised in one session or in two or more successive sessions and if, before the expiry of the session immediately following the session or the successive sessions aforesaid, both Houses agree in making any modification in the rule or both Houses agree that the rule should not be made the rule shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that rule.

21.

Provisions of Act not to apply to certain persons.

The provisions of this Act shall not apply to any person in respect of whom an order of detention has been made under the Conservation of Foreign Exchange and Prevention of Smuggling Activities Act, 1974: (52 of 1974.)

Provided that-

(i)

such order of detention, being an order to which, the provisions of section 9 or section 12A of the said Act do not apply, has not been revoked on the report of the Advisory Board under section 8 of the said Act or before the receipt of the report of the Advisory Board; or

(ii)

such order of detention, being an order to which the provisions of section 9 of the said Act apply, has not been revoked

before the expiry of the time for, or on the basis of, the review 'under sub-section (3) of section 9, or on the report of the Advisory Board under section 8, read with sub-section (2) of section 9, of the said Act; or

(iii)

such order of detention, being an order to which the provisions of section 12A of the said Act apply, has not been revoked before the expiry of the time for, or on the basis of, the first review under sub-section (3) of that section, or on the basis of the report of the Advisory Board under section 8, read with sub-section (6) of section 12A, of the said Act; or

(iv)

such order of detention has not been set aside by a court of competent jurisdiction.

22.

Repeal and saving.

(1)

The Voluntary Disclosure of Income and Wealth Ordinance, 1975 (15 of 1975.) and the Voluntary Disclosure of Income and Wealth (Amendment) Ordinance, 1975 (23 of 1975.) are hereby repealed.

(2)

Notwithstanding such repeal, anything done or any action taken under the Voluntary Disclosure of Income and Wealth Ordinance, 1975 (15 of 1975.) as amended by the Voluntary Disclosure of Income and Wealth (Amendment) Ordinance, 1975 (23 of 1975.) shall be deemed to have been done or taken under the corresponding provision of this Act.

(3)

Where during the period commencing on the 8th October, 1975 and ending with the 28th November, 1975 any person had furnished security in accordance with sub-section (3) of section 5 of the Voluntary Disclosure of Income and Wealth Ordinance, 1975 as it stood immediately before its amendment by the Voluntary Disclosure of Income and Wealth (Amendment) Ordinance, 1975, (15 of 1975.) such person shall be deemed to have furnished adequate security for the purposes of sub-section (2) of section 5 of this Act. (23 of 1975.)

THE SCHEDULE

[See section 3(1)]

Rates of income-tax

(a)

In the case of a declarant, being a company, at the rate of 60 per cent. of the voluntarily disclosed income.

(b)

In the case of a declarant, being a person other than a company,-

(1)

where the voluntarily disclosed income does not exceed Rs. 25,000 25 per cent. of the voluntarily - disclosed income;

(2)

where the voluntarily disclosed income exceeds Rs. 25,000 but does not exceed Rs. 50,000 Rs. 6,250 plus 40 per cent. of the amount by which the voluntarily disclosed income ex- -ceeds Rs. 25,000;

(3)

where the voluntarily disclosed income exceeds Rs. 50,000. - Rs.16,250 plus 60 per cent. of the amount by which the Rs. 50,000 voluntarily disclosed income exceeds

Related AI tags, queries and research notes

Translation